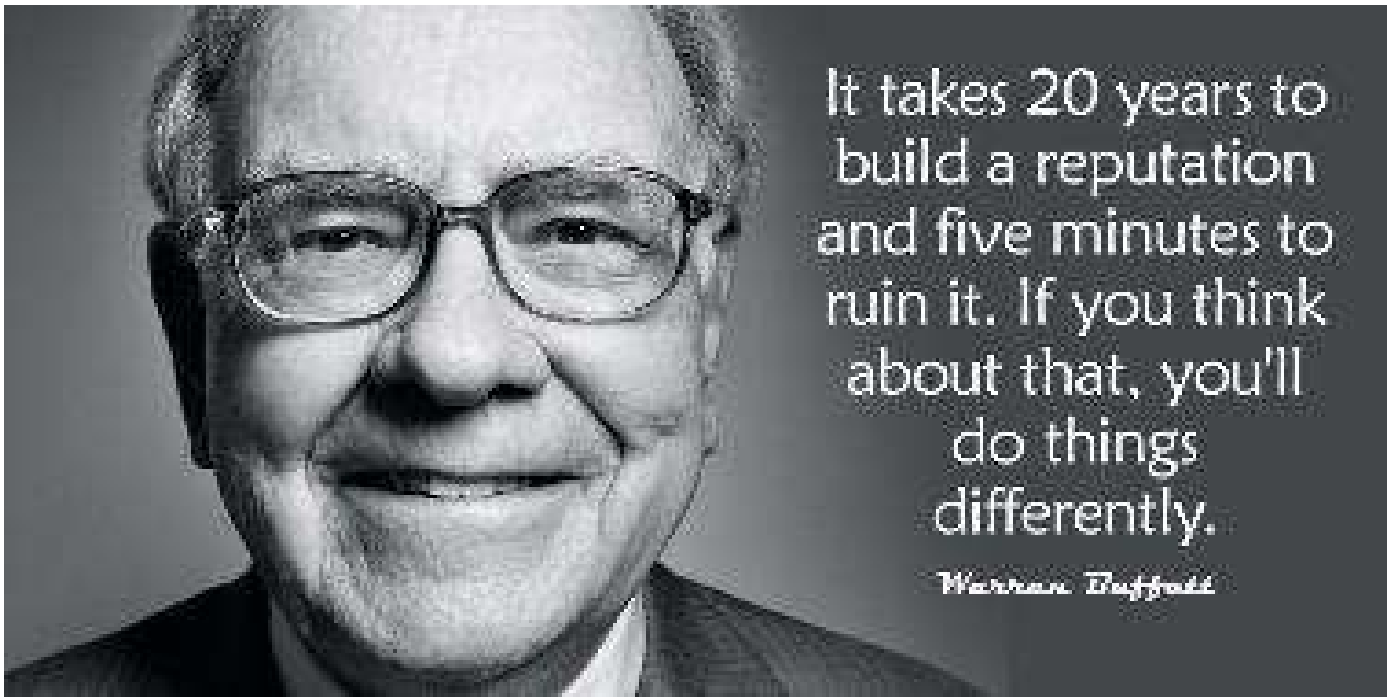
ACCT102 Management Accounting

Week 9

Business decisions for sustainability

Ethics

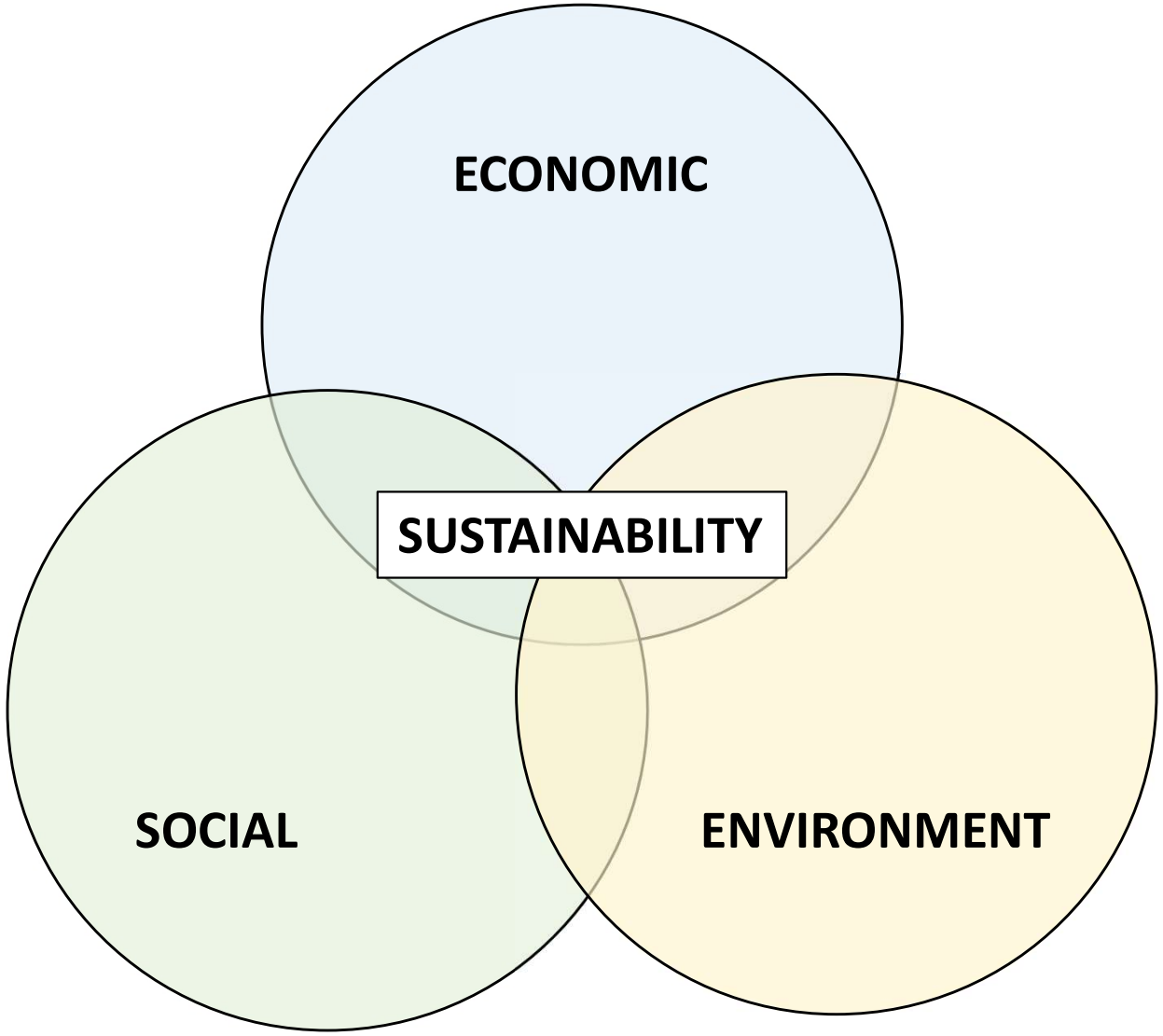


But, at all cost?

Should a company bother about ethics?

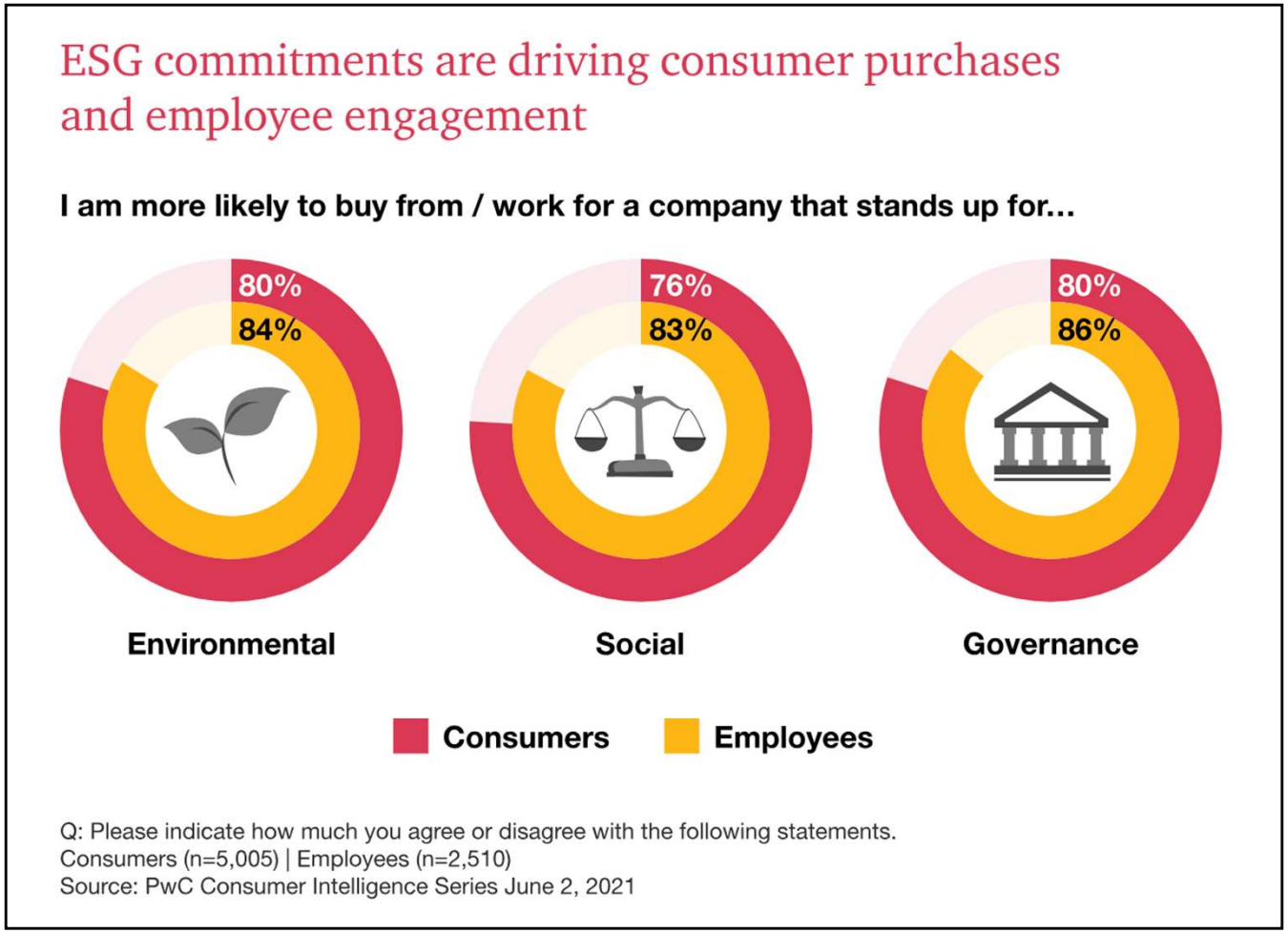
- Lapses in labor rights, safety
- Poor governance, corruption

Sustainability

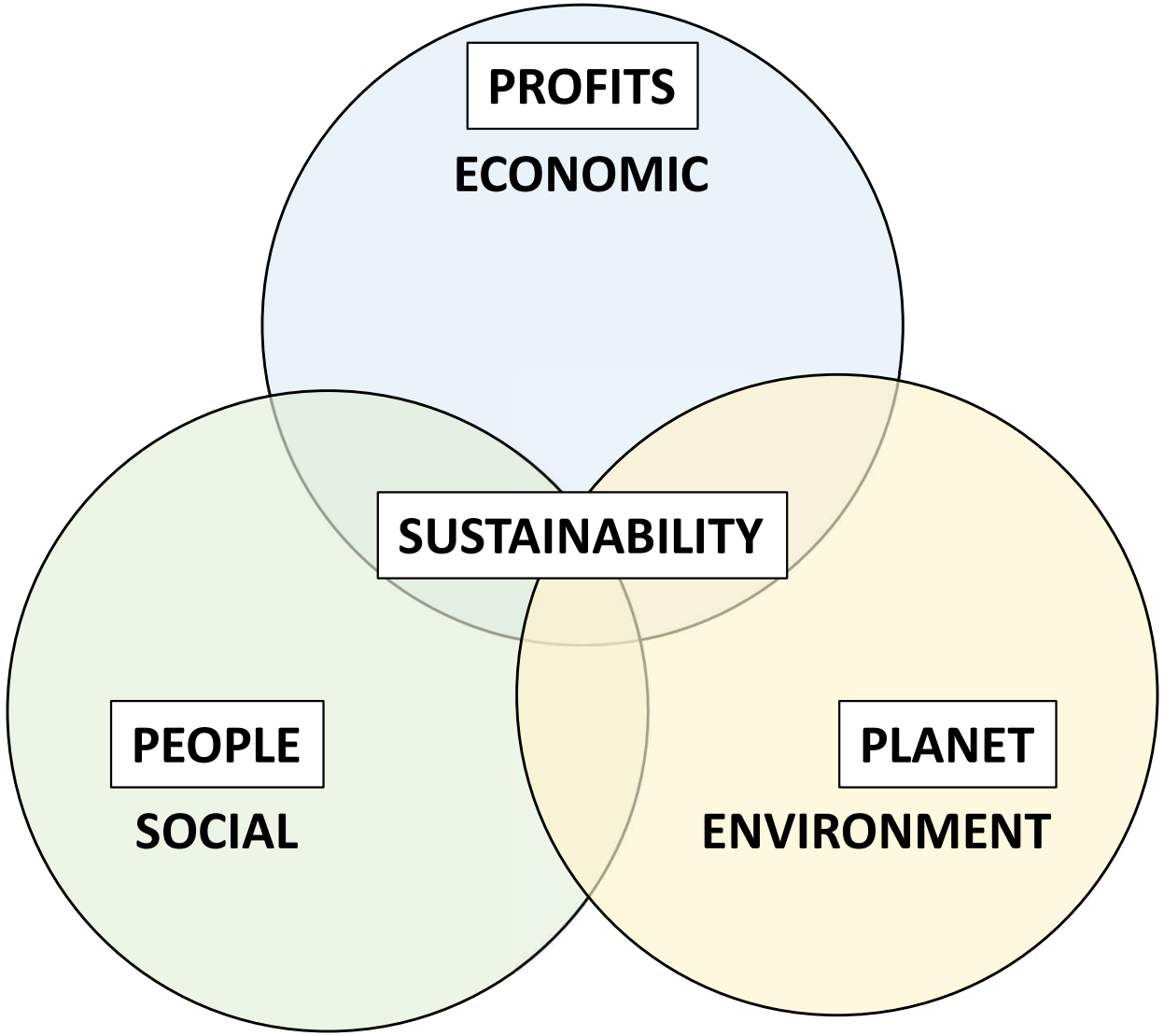


Increasing Focus on Sustainability

- Consumers and employees want businesses to invest in making sustainable improvements to the environment and society, not just comply with regulation, and they're prepared to reward (or penalize) brands accordingly.



Triple Bottom Line (3Ps)



Triple Bottom Line (3Ps)

PROFIT

Company's financial return to shareholders

- Focus is on financial performance and economic sustainability
- Strategic planning initiatives and key business decisions are generally carefully designed to maximize profits while reducing costs and mitigating risk
- E.g. profitability, return on investment, revenue growth, cost management

PEOPLE

Company's impact to society and its commitment to people

- Shift towards a more stakeholder focused business
- Society: E.g. customers, suppliers, communities, social initiatives
- Employees: E.g. prioritizing fair labour practices, diversity and inclusion, employee well-being and welfare, community engagement

PLANET

Company's impact on the environment and ecological footprint

- Evaluating how an organization's activities affect the environment and what measures it takes to mitigate negative consequences
- E.g. resource conservation, waste reduction, energy efficiency, sustainable sourcing, and climate change mitigation strategies.

Example – People

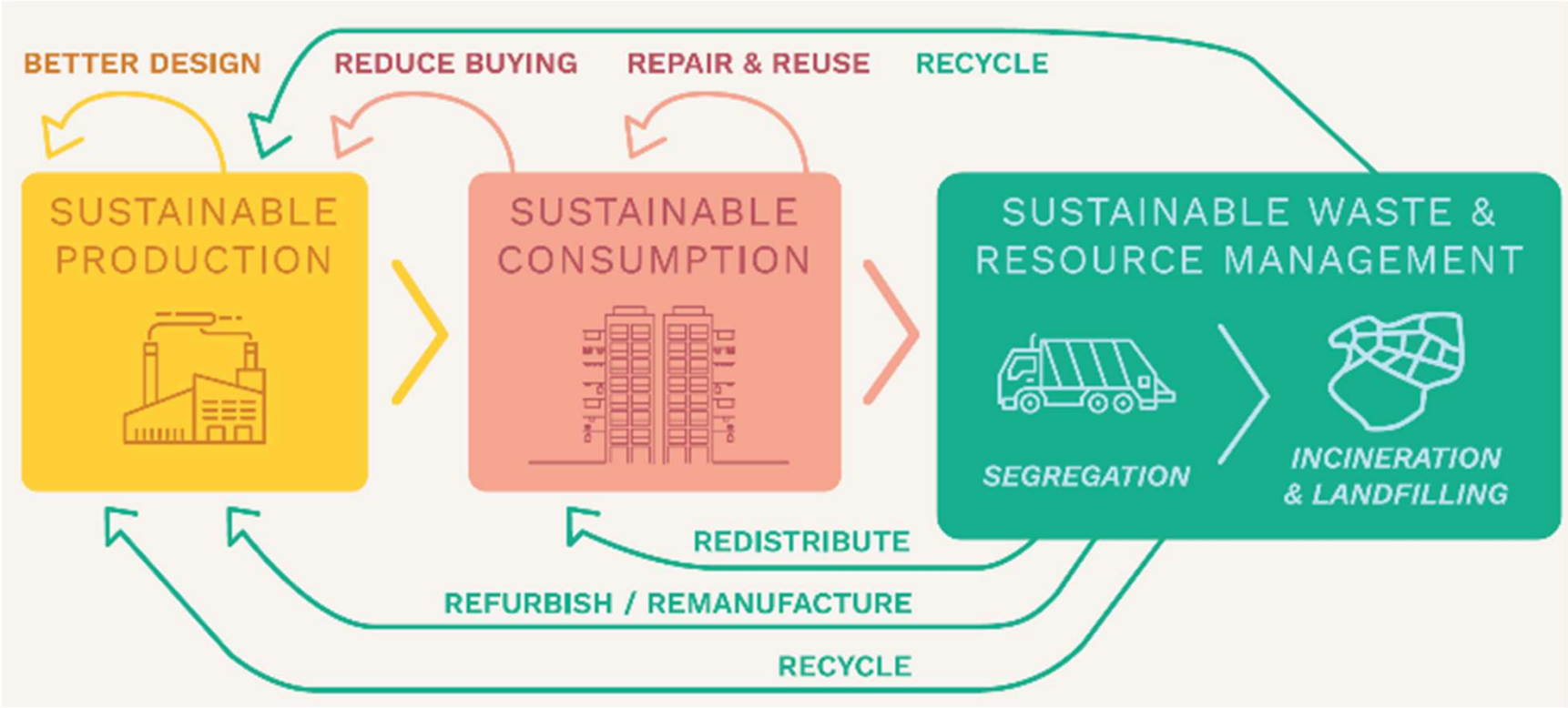






Example – Planet: Circular Economy

Unlike the linear economy, the circular economy focuses on designing waste out of the resource ecosystem and maximising the value of resources by keeping them in use for as long as possible.



https://www.towardszerowaste.gov.sg/zero-waste-masterplan/chapter2/circular-economy/

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Sustainability Reporting

- Many of the world's largest companies prepare sustainability reports that are disclosed publicly.
- Global Reporting Initiative (GRI) and International Sustainability Standards Board (ISSB) are key players in sustainability reporting.
- Sustainability disclosure standards introduced (IFRS S1 and S2) to provide a global baseline of sustainability-related disclosures.
- Sustainability reporting required by SGX for listed companies.

End of topic